LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Promoter Contribution Funding?

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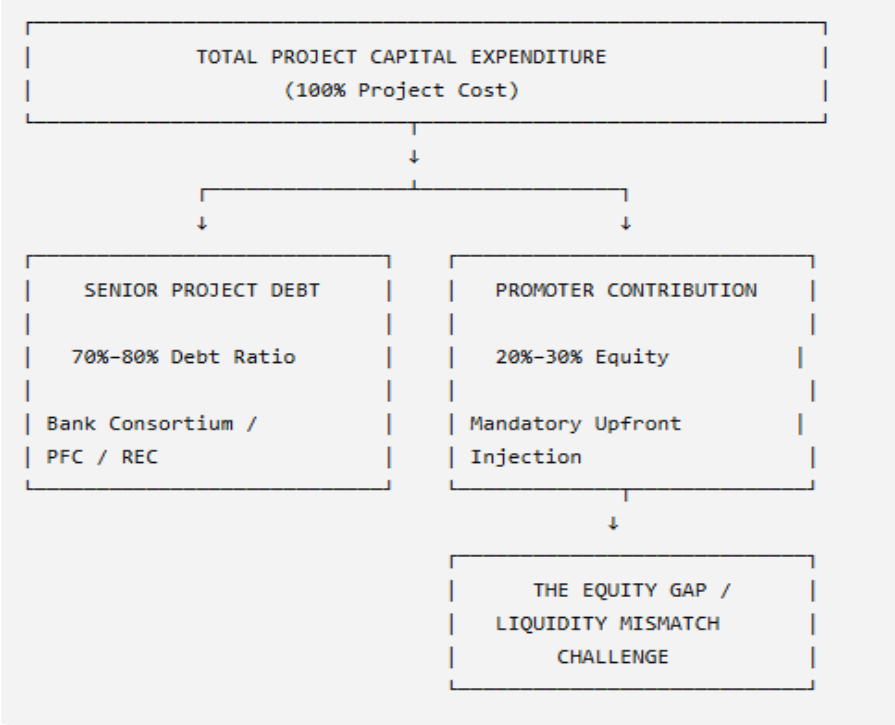
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Module 1: Theoretical Foundations and Product Philosophy of Promoter Contribution Funding

1.1 The Capital Structure of Project Finance and Capital Projects

In corporate finance, industrial expansion, infrastructure development, and large-scale capital projects are typically executed through a separate legal entity known as a **Special Purpose Vehicle (SPV)** or **Special Purpose Company**. The capital structure of these project entities is inherently highly leveraged, operating under a structured debt-to-equity ratio of **70:30**, **75:25**, or **80:20**. The senior debt component (70% to 80% of total project cost) is financed by a consortium of commercial banks, public sector financial institutions (such as PFC, REC, or IIFCL), or infrastructure debt funds (IDFs).

However, a non-negotiable statutory and commercial prerequisite enforced by senior lenders prior to releasing the first drawdown of senior project debt is the upfront injection of the remaining **20% to 30% equity contribution**, universally known as the **Promoter's Contribution**, **Promoter's Margin**, or **Equity Margin**.



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1.2 The Equity Gap and Product Philosophy

While corporate promoter groups, holding companies, and industrial entrepreneurs may possess substantial long-term net worth in the form of equity shares in listed parent companies, land banks, or operational subsidiaries, they frequently experience severe short-to-medium-term **liquidity constraints**. Funding a ₹25 Crore or ₹100 Crore upfront promoter contribution requirement in cash out of existing treasury balances can paralyze operational working capital.

Furthermore, liquidating core equity holdings in listed parent companies to raise cash creates severe strategic disadvantages: 1. **Immediate Capital Gains Tax Liabilities:** Selling appreciated shares triggers immediate **Long-Term Capital Gains (LTCG) tax at 12.50%** (under **Section 112A of the Income Tax Act, 1961**) or **Short-Term Capital Gains (STCG) tax at 20.00%** (under **Section 111A**), dissipating substantial corporate wealth. 2. **Equity Dilution and Signaling Risk:** Open-market share sales by promoters trigger negative public market sentiment, depressing stock valuations and risking the loss of voting control. 3. **Loss of Future Market Compounding:** Equity liquidation permanently strips the promoter of future dividend yields, share splits, and capital appreciation.

Promoter Contribution Funding (PCF)—also structured as **Promoter Equity Bridge Funding** or **Promoter Margin Funding**—is a specialized, structured fund-based credit facility extended directly to the promoter group, parent holding company, or promoters in their individual/corporate capacities. The proceeds of this loan are earmarked exclusively to fund the promoter's mandatory equity contribution in the project SPV. By bridging this equity gap, PCF enables the project SPV to achieve **financial closure** and immediately unlock the drawdown of lower-cost senior project debt, preserving promoter equity control and market compounding momentum.

1.3 The Credit Substitution Principle and Anchor-Led Cash Flow Dynamics

A core philosophical pillar of structured project and trade finance is the **Credit Substitution Principle**. A standalone greenfield project SPV possesses no operational track record or cash flows during its construction phase, making it unbankable on a standalone credit rating basis. However, by structuring a joint escrow mechanism, a **Trust and Retention Account (TRA)**, and securing collateral pledges over liquid parent company assets (such as listed shares or commercial real estate), the lender effectively substitutes the standalone SPV's construction-stage credit risk with the creditworthiness of the parent promoter group and the underlying project's long-term cash flows.

In Promoter Contribution Funding, the loan is underwritten at the promoter/holding company level utilizing liquid market collateral, while the ultimate debt service and takeout are structurally linked to project completion, operational cash flows, dividend distributions, or planned equity refinancings.

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Module 2: Structural Taxonomy and Comparative Analysis (The Capital Matrix)

To establish complete clarity for a rookie in finance, Promoter Contribution Funding must be differentiated from other corporate debt, equity, and hybrid credit facilities across the Indian financial landscape:

Structural Parameter	Promoter Contribution Funding (PCF)	Standard Promoter Funding (LAS)	Mezzanine Finance / Subordinated Debt	Pure Common Equity / VC	Standalone Unsecured Corporate Debt
Primary Economic Purpose	Earmarked strictly to fund promoter's equity margin contribution in a project SPV.	General corporate capital, debt refinancing, or parent company acquisitions.	Filling the subordinated gap between senior debt and equity inside the SPV.	Permanent equity capital for project ownership and voting rights.	Short-term unearmarked working capital or trade payables.
Borrowing Entity	Promoter Group, Holding Company, or Promoters individually.	Parent Holding Company or Promoter Family Office.	The Project SPV or intermediate HoldCo.	The Project SPV directly.	Operational Corporate Entity.
Primary Security & Collateral	Demat Share Pledge, Escrow over SPV Equity, TRA Account charge.	Demat Pledge of listed shares of parent/sister entities.	Second charge on project assets, subordinated SPV equity pledge.	Common Equity Shares / Voting Rights.	Unsecured / Personal Guarantee of Promoters only.
Priority of Claim	Senior claim at HoldCo level; Subordinated to senior debt inside SPV.	Senior claim at HoldCo level.	Subordinated to senior project debt, senior to equity.	Lowest priority; residual equity claim upon liquidation.	Unsecured claim under IBC Section 53 waterfall.
Repayment Structure	Bullet or structured balloon; interest serviced monthly or capitalized.	Revolving Overdraft or bullet term loan.	Cash coupon + redemption premium / equity kicker.	Dividends and exit via IPO / Secondary buyback.	Amortizing monthly / quarterly installments.
CERSAI & ROC Filings	Mandatory CERSAI and ROC Form CHG-1 filing within 30 days.	Mandatory CERSAI and ROC Form CHG-1 filing within 30 days.	Mandatory second charge registration with CERSAI/ROC.	Equity issuance filed via ROC Form PAS-3.	Unsecured; no asset charge filings.
Balance Sheet Treatment	Financial Liability at HoldCo level; Equity	Financial Liability at HoldCo level.	Hybrid Instrument / Subordinated	Equity Capital / Share Premium	Current / Non-Current Financial Liability.

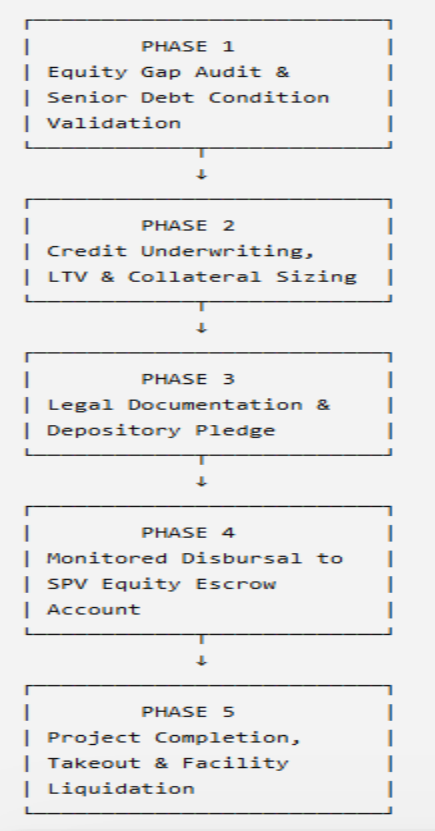
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Structural Parameter	Promoter Contribution Funding (PCF)	Standard Promoter Funding (LAS)	Mezzanine Finance / Subordinated Debt	Pure Common Equity / VC	Standalone Unsecured Corporate Debt
(Ind AS 32/109)	Investment in SPV balance sheet.		Debt at SPV level.	under Ind AS 32.	

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Module 3: The End-to-End Operational Lifecycle of Promoter Contribution Funding

The successful execution and management of a Promoter Contribution Funding transaction follows a rigid, 5-phase operational pipeline designed to eliminate underwriting errors and capital diversion risks:



3.1 Phase 1: Equity Gap Audit and Senior Debt Condition Validation

The operational lifecycle commences with an intensive technical and financial audit of the project SPV's capital model. The PCF lender's credit team reviews the **Senior Debt Sanction Letters** issued by the bank consortium to verify: * Total approved project cost (e.g., ₹100 Crores). * Approved debt-equity ratio (e.g., 75:25, requiring ₹25 Crores equity). * Specific **Conditions Precedent (CPs)** governing senior debt release—specifically verifying that the senior lender mandates upfront 100% deposit of the promoter's equity contribution into the SPV's Trust and Retention Account (TRA) prior to First Disbursal.

Simultaneously, the underwriter evaluates the proposed collateral assets (e.g., listed parent shares, mutual fund units, or unencumbered real estate) to establish free float, daily trading liquidity, beta, and historical volatility.

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3.2 Phase 2: Credit Underwriting, LTV Haircuts, and Limit Sizing

During underwriting, the credit team sizes the facility based on the identified equity gap and enforces strict **Loan-to-Value (LTV) ceilings**. For volatile market assets like listed equity shares, underwriters require a minimum **2.0x to 3.0x collateral cover** (representing an initial LTV of **33.33% to 50.00%**). The credit team assesses the promoter's scorecards: * Promoter CIBIL Score: Target **> 700**. * CIBIL MSME Rank (CMR): Target **CMR 1 to CMR 4**. * Debt Service Coverage Ratio (DSCR) of the project SPV: Target **> 1.25x**. * Interest Coverage Ratio (ICR) of the parent company: Target **> 1.25x**.

3.3 Phase 3: Legal Documentation and Depository Pledge Creation

Upon credit sanction, the legal structure is executed: 1. **Master Facility Agreement:** Outlines borrowing terms, interest rates, margins, and repayment schedules. 2. **Share Pledge Agreement:** Executed under **Section 172 of the Indian Contract Act, 1872**, enabling an electronic demat pledge via NSDL or CDSL. The depository participant marks a formal "lien" on the pledged shares. 3. **Tripartite Escrow Agreement:** Executed between the PCF Lender, the Promoter/HoldCo, and the SPV's Senior Escrow Bank, establishing an irrevocable waterfall over incoming project dividends and equity proceeds. 4. **CERSAI & ROC Charge Filings:** Security interest registered on the **CERSAI portal and the ROC (Form CHG-1) within the statutory 30-day window**.

3.4 Phase 4: Monitored Disbursal to SPV Equity Escrow Account

To eliminate **capital diversion risk**—the leading cause of credit default in Indian corporate lending—loan proceeds are **never disbursed to the promoter's general current accounts**. Instead, the PCF lender transfers funds directly into the **SPV Equity Escrow Account** (or TRA account) maintained with the senior project lenders. This direct-to-escrow disbursement ensures that 100% of the funds are locked into the project SPV as equity margin, immediately satisfying the senior lender's Condition Precedent and unlocking the drawdown of the lower-cost senior debt.

3.5 Phase 5: Project Completion, Takeout, and Facility Liquidation

As a bridge facility (with an indicative tenure of **12 to 36 months**), PCF is structured to be liquidated through defined corporate takeout events: 1. **Refinancing / Long-Term Capex Debt:** Once the project achieves its Commercial Operations Date (COD), the project is refinanced into a long-term operational capex loan at reduced interest rates, releasing cash to pay off the PCF loan. 2. **Project Dividend Sweeps:** Operational free cash flows and SPV dividends are routed through the escrow waterfall to service PCF principal and interest. 3. **Strategic Equity Inflow / IPO:** Secondary equity investments by private equity funds or an Initial Public Offering (IPO) of the project SPV provide cash to fully redeem the PCF facility and release the pledged parent shares.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in Promoter Contribution Funding requires a rigorous dual-track methodology: evaluating the public market stability of the pledged securities alongside the long-term feasibility of the underlying project SPV.

4.1 Traditional Working Capital and Credit Sizing Frameworks

Underwriters apply and adapt three classical working capital sizing frameworks:

1. Tandon Committee's Second Method of Lending

- **Formula & Application:** Borrowers must contribute a minimum of **25% of total current assets** as Net Working Capital (NWC) from long-term sources, with bank financing capped at 75%. The target Current Ratio under this method is strictly **1.33:1** or higher.

$$\text{Max Permissible Bank Finance (MPBF)} = 0.75 \times (\text{Total Current Assets}) - \text{Current Liabilities (excl. Bank Borrowings)}$$

- **PCF Adaptation:** During the greenfield construction phase, the SPV's standalone Current Ratio is non-operational. Underwriters adapt this by evaluating the **Consolidated Parent Balance Sheet** under the Tandon Second Method, ensuring that the parent entity maintains a Current Ratio $\ge 1.33:1$, guaranteeing their capacity to absorb potential margin calls.

2. Projected Turnover Method (PTM / Nayak Committee)

- **Application:** Applied for working capital and contractor limits up to **₹5 Crores**. The total credit requirement is estimated at **25% of projected annual turnover**, with the promoter contributing **5% of turnover** as equity margin and the bank funding **20%**.
- **PCF Adaptation:** For smaller EPC and commercial project SPVs, underwriters validate projected turnover by running GSTR-1 and GSTR-3B tax matching scripts via automated APIs. If tax filing velocity supports projections, the bank approves the interim limit, capping disbursal strictly at 20% of contract value.

3. Cash Budget Method (CBM)

- **Application:** Mandated for seasonal industries, infrastructure contractors, or fast-growing entities with irregular cash flows. The borrower submits a monthly cash inflow and outflow projection, and the bank sizes the credit limit based on the **Peak Net Cash Deficit** identified in the cash budget.

4.2 Scorecard Underwriting and Portal Validation Metrics

To mitigate credit defaults, underwriters cross-reference data from the following portals:

- **Promoter CIBIL Score:** Target score **> 700**. Scores below 700 signal weak credit discipline, raising the risk of capital diversion.
- **CIBIL MSME Rank (CMR):** Target rank between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.

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- **Interest Coverage Ratio (ICR):** Target ICR **> 1.25x**.

$$\\text{ICR} = \\frac{\\text{EBITDA}}{\\text{Gross Interest Expense}}$$

- **Bank Statement Analysis (BSA):** Utilizing the **Account Aggregator (AA)** framework, lenders analyze bank statement transaction velocity to detect circular trading, cheque bounces, or unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match submitted invoices against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring 100% transactional authenticity.

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Module 5: Security Architecture, Legal Documentation, and Regulatory Covenants

The structural enforceability of a Promoter Contribution Funding facility rests upon a bulletproof legal framework that protects lender seniority and provides fast-track foreclosure mechanisms.

5.1 Legal Charge Creation Framework

1. **Section 172 of the Indian Contract Act, 1872 (Demat Share Pledge):**
   - Section 172 defines a **pledge** as the bailment of goods (or dematerialized securities) as security for payment of a debt or performance of a promise. In modern corporate finance, pledges are executed electronically through depository participants (NSDL and CDSL) under the Depositories Act, 1996. The lender's DP account marks a formal "lien" on the pledged shares, blocking them in the promoter's demat account and preventing any unauthorized sale or transfer.
2. **Section 130 of the Transfer of Property Act, 1882 (Assignment of Actionable Claims):**
   - Section 130 governs the **absolute assignment of actionable claims**. In PCF, the promoter executes an absolute assignment of all future cash dividends, share buyback proceeds, and corporate distributions generated by the pledged shares. Upon execution, the issuing company and depository are legally mandated to route all cash distributions directly into the lender's escrow account.
3. **Section 58(f) of the Transfer of Property Act, 1882 (Equitable Mortgage):**
   - Where real estate collateral (such as commercial land or industrial buildings) is provided as secondary security, an **Equitable Mortgage** is created by the deposit of original title deeds with the lender in notified towns, creating a valid legal charge without requiring expensive stamp duty associated with registered mortgages.
4. **SARFAESI Act, 2002 & Section 176 Contract Act Foreclosure Rights:**
   - Under **Section 176 of the Indian Contract Act, 1872**, if the promoter defaults on the loan or fails to cure an LTV breach after receiving reasonable notice, the pledgee (lender) has the legal right to sell the pledged shares in the open market without filing a court lawsuit.
   - Under the **SARFAESI Act, 2002**, for mortgaged immovable property, the lender can issue a **60-day demand notice under Section 13(2)** and take physical possession under **Section 13(4)** upon non-payment.
5. **Mandatory CERSAI & ROC Charge Registration:**
   - Under SARFAESI amendments and MCA rules, lenders must register all hypothecations, mortgages, and pledges on the **CERSAI portal within the strict 30-day statutory window**. Any failure or delay in registration compromises the "secured" status of the debt, subordinating the lender's claims to unsecured creditors

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under the Insolvency and Bankruptcy Code (IBC), 2016. Form CHG-1 must similarly be filed with the Registrar of Companies (ROC) within 30 days.

5.2 Key Documentation Covenants

- **Master Facility Agreement:** Defines loan terms, interest rates, margins, and repayment schedules.
- **Share Pledge Agreement:** Governs the demat pledge, setting exact LTV thresholds, trigger prices, and margin call response windows (typically **24 to 48 hours** to deposit additional cash or shares).
- **Irrevocable Power of Attorney (PoA):** Authorizes the lender to execute share sales or transfers in the open market upon an uncured margin default.
- **Tripartite Escrow & TRA Agreement:** Establishes the Trust and Retention Account waterfall governing project inflows and dividend distributions.

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Module 6: Suitable Industries, Business Profiles, and Macroeconomic Context

Promoter Contribution Funding is heavily deployed across capital-intensive sectors where upfront equity requirements are substantial and project lifetimes are extended.

6.1 Suitable Industries and Business Profiles

1. **Infrastructure, Roads & Highways:** Developers executing National Highways Authority of India (NHAI) Hybrid Annuity Model (HAM) or Build-Operate-Transfer (BOT) projects. These projects require massive upfront equity margins to unlock bank debt drawdown.
2. **Renewable Energy (Solar & Wind SPVs):** Developers establishing multi-megawatt solar parks or wind farms operating under long-term Power Purchase Agreements (PPAs) with creditworthy state discoms or SECI, providing predictable cash flows for PCF takeout.
3. **Real Estate & Logistics Parks:** Commercial developers constructing logistics parks, IT parks, or residential projects registered under the **Real Estate Regulatory Authority (RERA)**. Lease Rental Discounting (LRD) serves as a primary takeout mechanism for these projects.
4. **Heavy Manufacturing & Process Industries:** Cement, steel, specialty chemicals, and auto component manufacturers executing greenfield or brownfield plant expansions.

6.2 Macroeconomic Benchmarks and Working Capital Context

To align credit underwriting with national financial realities, lenders evaluate macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME and Trader Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the heavy concentration of short-term credit in trading, making structured asset-backed funding like PCF critical for industrial capex.
- **Digital Public Credit Infrastructure:** Public sector banks utilize automated digital platforms to facilitate supply chain and trade credit. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Supports distributor networks with an active portfolio size of **₹49,261 Crores**.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with an active portfolio size of **₹28,092 Crores**.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis, and Interest Tax Shields

Promoter Contribution Funding is priced at a risk premium over standard mortgage debt due to the underlying asset volatility and project execution risks, but is structured to maximize corporate tax efficiency.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For PCF, commercial lenders charge a risk spread, pushing all-in interest rates to **11.50% to 15.50% p.a.** for secured, listed equity-backed structures.
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **1.00% to 2.00%** of the sanctioned limit, reflecting legal, technical, and depository due diligence costs.
- **GST Treatment:** Upfront processing fees, valuation costs, and legal charges attract standard **18% GST**. However, **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt highly cost-effective.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business expansion or downstream equity investment in a project SPV is a fully deductible business expense. Corporate borrowers utilize this tax shield to offset corporate tax liabilities (at standard rates of **25.17%** for manufacturing entities or **31.20%** for holding companies), dramatically lowering the effective post-tax borrowing cost.

7.2 Financial Mathematics of Daily Reducing Balance

PCF operates on a **daily reducing balance negative current account limit** or structured term limit. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Utilized\ Balance \times Annual\ Interest\ Rate}{365}$$

By sweeping project SPV payouts and dividends into the escrow account, the outstanding principal is immediately reduced, minimizing cumulative interest outlays over the tenure.

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Module 8: Regulatory Compliance, RBI Statutory Caps, and Asset Classification

PCF lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure compliance with banking norms.

8.1 RBI Guidelines on Loans Against Shares

Lenders must strictly comply with the RBI's Master Circulars on Loans and Advances: * **The ₹20 Lakhs Individual Cap:** Under RBI guidelines, loans to **individuals** against the security of dematerialized shares are capped at a strict statutory ceiling of **₹20 Lakhs** per individual (and ₹10 Lakhs for physical shares). * **Corporate and Holding Company Exemption:** Crucially for project finance, **corporate borrowers, holding companies, and promoter entities are completely exempt from this ₹20 Lakhs individual cap**. They can raise high-value funding (spanning tens or hundreds of Crores) against listed parent shares, subject to strict underwriting and LTV compliance. * **Minimum Margin Covenants:** RBI mandates that banks must maintain a minimum margin of **50.00%** (equivalent to a maximum LTV of 50.00%) for all loans granted against shares.

8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including PCF term loans), an account is classified as an NPA if interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **"Out of Order" Status for Revolving CC/OD Limits:** A revolving interim limit is classified as "Out of Order" (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or inflows are insufficient to cover interest debited during the same 90-day window.
- **The 180-Day Technical Review Default:** If a bank fails to review or renew a working capital limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA.

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- **RBI Digital Lending Guidelines:** First Loss Default Guarantee (FLDG) arrangements between regulated entities (REs) and Lending Service Providers (LSPs) are capped at a strict ceiling of **5.00%** of the underlying loan portfolio.

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Module 9: Comprehensive Real-World Case Study (Mumbai Highway Developers SPV Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Promoter Contribution Funding transaction.

9.1 The Corporate Profile and Liquidity Crisis

- **The Promoter Entity:** *Mr. Rajesh Mehta & Mehta Infrastructure Holdings Pvt. Ltd. (MIHPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing/infrastructure entity under Section 115BAA of the Income Tax Act).
- **The Project SPV:** *Mumbai Highway Developers SPV Ltd. (MHDPL)*
- **The Project:** MHDPL has been awarded a bid to construct a **Four-Lane Highway Bypass** in Maharashtra under the National Highways Authority of India (NHAI) Hybrid Annuity Model (HAM). The total estimated project capital expenditure is **₹100,00,00,000 (₹100 Crores)**.
- **The Financing Structure:** A consortium of public sector banks has approved a Senior Project Debt Facility of **₹75,00,00,000 (₹75 Crores)** (75% debt component) at an attractive interest rate of 8.50% p.a. However, a strict **Condition Precedent (CP)** for the first disbursal of this senior debt is the upfront injection of the **25% Promoter Equity Contribution**, equivalent to **₹25,00,00,000 (₹25 Crores)**.
- **The Equity Gap:** MIHPL has a severe liquidity mismatch. While MIHPL owns equity shares in their listed parent entity (*Mehta Infrastructure Enterprises Ltd.*) valued at **₹60,00,00,000 (₹60 Crores)**, they only have ₹5 Crores in cash. If MIHPL liquidates ₹20 Crores of listed shares to meet the equity gap, they will face:
    1. Immediate **12.50% Long-Term Capital Gains (LTCG) Tax** on the gains, costing an estimated **₹2,50,00,000.00 (₹2.50 Crores)**.
    2. Public market negative signaling, triggering a potential drop in parent share price.
    3. Permanent loss of voting control and future dividends.

9.2 The Structured PCF Solution (Pathway B)

A structured infrastructure debt NBFC steps in to fund the equity gap, establishing the following covenants: 1. **Facility Sizing:** A non-revolving Promoter Contribution Funding facility of **₹20,00,00,000 (₹20 Crores)** is sanctioned to MIHPL. (Combining this with their ₹5 Crores cash satisfies the ₹25 Crore promoter equity requirement). 2. **Collateral Offered:** A demat pledge over listed shares of *Mehta Infrastructure Enterprises Ltd.* valued at **₹60,00,00,000 (₹60 Crores)**, providing a robust **3.0x collateral cover** (or an initial **33.33% LTV**, well within the statutory 50% LTV ceiling). 3. **Escrow Structure:** A tripartite Trust & Retention Account (TRA) is executed. Loan proceeds are transferred directly from the NBFC into MHDPL's Equity Escrow Account, satisfying the senior bank consortium's Condition Precedent. 4. **Pricing & Cash Margin:** Interest is priced at **12.50% p.a.** on a daily reducing balance basis. An upfront processing fee of **1.50%** is charged.

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MIHPL places a 15% cash margin (₹3,00,00,000) in a Fixed Deposit earning **6.50% p.a.** 5. **Tenure:** Structured as a **365-Day bridge limit**, to be paid off through a pre-planned equity takeout from an incoming global infrastructure fund.

9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If MIHPL had attempted to raise funding standalone without a structured depository share pledge or project escrow, it would have been forced to approach distressed-asset lenders, facing: * Standalone unsecured interest rate of **20.00% p.a.** * Upfront processing fee of **3.50%** of the loan value. * High operational friction, with no tax-effective FD interest offsets.

9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured PCF Pathway (Pathway B) in Indian Rupees over the 365-day cycle:

Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured PCF Pathway)
Loan Principal Amount	₹20,00,00,000	₹20,00,00,000
Financing Interest Rate	20.00% p.a.	12.50% p.a.
Financing Tenure	365 Days	365 Days
Gross Interest Cost	**₹4,00,00,000.00**	**₹2,50,00,000.00** *(calculated on daily reducing balance)*
Upfront Processing Fee	₹70,00,000.00 *(3.50% of loan)*	₹30,00,00,000.00 *(1.50% of loan)*
Upfront GST on Fee (18%)	₹12,60,000.00 *(fully recoverable ITC)*	₹5,40,000.00 *(fully recoverable ITC)*
Lien-Marked Cash Margin	₹0.00 *(no FD possible)*	₹3,00,00,000.00 *(15% of loan)*
FD Interest Earned (6.50%)	₹0.00	**-₹19,50,000.00** *(365-day pre-tax FD yield)*
Margin Capital Opportunity Cost	₹0.00	**+₹45,00,000.00** *(at 15.00% ROCE p.a.)*
Total Opportunity-Adjusted Pre-Tax Cost	**₹4,70,00,000.00**	**₹3,05,50,000.00**
Corporate Income Tax Shield (25.17%)	**-₹1,18,29,900.00** *(applied to interest + fee)*	**-₹70,47,600.00**
Net Post-Tax Opportunity-Adjusted Cost	**₹3,51,70,100.00**	**₹2,35,02,400.00**
Effective Annualized Post-Tax Rate	**17.59% p.a.**	**11.75% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured PCF Pathway (Pathway B)**, MIHPL achieves an effective post-tax annualized borrowing rate of **only 11.75% p.a.**, compared to **17.59% p.a.** under the standalone route.

The “So What” Summary: This structured program delivers **₹1,16,67,700.00 (₹1.16 Crores) in direct, post-tax cash savings** to MIHPL on a single 365-day cycle. More importantly, by raising the ₹20 Crores securely through the structured depository share pledge, Mr. Rajesh Mehta successfully

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triggered the drawdown of the **₹75 Crore Senior Project Loan** on schedule, the NHAI Highway Bypass construction commenced without delay, MIHPL completely avoided selling its parent company shares (retaining full voting control and saving **₹2.50 Crores in avoided capital gains taxes**), and the project SPV is on track to achieve its commercial operations date on schedule!

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Promoter Contribution Funding in India.

Question 1

A promoter group seeks to raise ₹25 Crores against the pledge of dematerialized shares of their listed parent company to fund an infrastructure SPV. The shares are held in a single promoter's individual demat account. Under RBI guidelines, what is the maximum loan amount a commercial bank can extend to this individual against demat shares? * A) ₹50 Lakhs * B) ₹20 Lakhs * C) ₹10 Lakhs * D) There is no cap for individual promoters if the funds are utilized for project equity. * **Answer:** B * **Rationale:** Under the RBI's Master Directions on Loans and Advances, loans to **individuals** against the security of dematerialized shares are subject to a strict statutory ceiling of **₹20 Lakhs** per individual. This cap is absolute and applies regardless of the end-use of the funds, including project equity contribution. To raise ₹25 Crores, the facility must be structured at the corporate/holding company level, which is exempt from this individual cap.

Question 2

A promoter group holding company raises ₹50 Crores against a pledge of listed parent shares valued at ₹100 Crores. During a market correction, the value of the pledged shares drops to ₹80 Crores. If the Share Pledge Agreement mandates a minimum collateral cover of 2.0x, what is the immediate margin call amount the promoter must deposit to cure the LTV breach? * A) ₹10 Crores in cash or additional shares. * B) ₹20 Crores in cash or additional shares. * C) ₹5 Crores in cash only. * D) No margin call is triggered because the LTV remains below the statutory 50% limit. * **Answer:** B * **Rationale:** The minimum collateral cover requirement of 2.0x on a ₹50 Crore loan requires a minimum collateral value of **₹100 Crores** (2.0 × ₹50 Crores). When the share value drops to ₹80 Crores, a collateral deficit of **₹20 Crores** (₹100 Crores − ₹80 Crores) is created. The promoter must immediately deposit ₹20 Crores in cash or additional shares to restore the contractually mandated 2.0x cover.

Question 3

Under Section 172 of the Indian Contract Act, 1872, what is the legal character of a share pledge created via NSDL/CDSL, and how is the lender's interest secured? * A) It is a simple mortgage; the lender registers a charge with the Sub-Registrar of Assurances. * B) It is a bailment of security; the depository participant marks a formal "lien" on the shares in favor of the lender, blocking transfer. * C) It is an equitable assignment; the promoter retains the right to sell the shares at any time. * D) It is a floating charge; it only crystallizes upon corporate liquidation. * **Answer:** B * **Rationale:** Under Section 172 of the Indian Contract Act, 1872, a pledge is the bailment of goods (or dematerialized securities) as security. For demat shares, the pledge is completed electronically when the depository participant (NSDL/CDSL) marks a **formal "lien"** in favor of the lender. This electronic lien blocks the shares, preventing the promoter from selling or transferring them without the lender's explicit release, while preserving the lender's right to liquidate them upon default.

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Question 4

To ensure priority of security charge over a pledged demat portfolio against other creditors, within how many days must the lender register the charge on the CERSAI portal under the SARFAESI Act, 2002? * A) 10 Days * B) 30 Days * C) 45 Days * D) 60 Days * **Answer:** B * **Rationale:** Under the statutory provisions of the SARFAESI Act, 2002, and subsequent MCA guidelines, all security interest charges (including share pledges, hypothecations, and mortgages) must be registered on the **CERSAI portal and the ROC (Form CHG-1) within a strict window of 30 days** from the date of charge creation to preserve the secured creditor's priority status.

Question 5

A promoter group holding company utilizes a structured PCF facility to invest in the equity of their project SPV. If the holding company operates under the 25.17% corporate tax rate, under which section of the Income Tax Act, 1961, can they deduct the interest paid on this facility from their taxable corporate income? * A) Section 43B * B) Section 37(1) * C) Section 36(1)(iii) * D) Section 80IA * **Answer:** C * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purposes of the business or profession (including downstream equity investments in a project SPV) is a fully deductible business expense, allowing the corporate borrower to claim a valuable tax shield.

Question 6

A lender is structuring a Promoter Contribution Funding facility for an infrastructure developer. To mitigate the risk of capital diversion, what is the most secure disbursement mechanism the underwriter should enforce? * A) Disburse the funds in a lump sum directly to the promoter's primary current account. * B) Disburse the funds in tranches directly into the project SPV's Equity Escrow / TRA Account. * C) Disburse the funds to the parent company's commercial paper clearing account. * D) Disburse the funds directly to the promoter's personal demat broker. * **Answer:** B * **Rationale:** To completely eliminate **capital diversion risk**, underwriters enforce a direct-to-escrow disbursement mechanism. The loan proceeds are routed directly from the lender into the project SPV's designated **Equity Escrow or Trust and Retention Account (TRA)**, satisfying the senior project lenders' equity requirements on Day 1 without passing through the promoter's general current accounts.

Question 7

Under the RBI's Loan System for Delivery of Bank Credit, what is the regulatory threshold of aggregate fund-based working capital limits above which banks must mandate a minimum 60% loan component? * A) ₹50 Crores * B) ₹100 Crores * C) ₹150 Crores * D) ₹200 Crores * **Answer:** C * **Rationale:** Under the RBI's **Loan System for Delivery of Bank Credit guidelines**, for large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, banks must mandate a minimum **60% "loan component"** (in the form of WCDL or short-term term loans), with the revolving cash credit component capped at 40%.

Question 8

According to national commercial credit data compiled by SIDBI and public sector banks, which segment represents the largest concentration of working capital borrowers (at 44% of active

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commercial borrowers) in the ₹10 Lakh to ₹2 Crore segment? * A) Infrastructure Sub-contractors * B) Renewable Energy SPVs * C) Retail and Wholesale Traders * D) Auto Component Manufacturers * **Answer:** C * **Rationale:** The SIDBI MSME Pulse Report highlights that **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment, underlining the high demand for structured flow-based financing.

Question 9

A promoter has pledged shares of a listed company to secure a PCF facility. If the bank fails to execute a formal credit review and renewal of this limit, how many days from the scheduled review due date can pass before the facility is classified as a technical default under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 365 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, commercial banks must review and renew working capital and short-term limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

Question 10

During the underwriting of a Promoter Contribution Funding facility, the lender analyzes the parent company's balance sheet. If the underwriter applies the Tandon Committee's Second Method of Lending, what is the minimum Current Ratio the parent entity must maintain? * A) 1.00:1 * B) 1.15:1 * C) 1.33:1 * D) 1.50:1 * **Answer:** C * **Rationale:** Under the **Tandon Committee's Second Method of Lending**, the borrowing entity (or parent guarantor) must maintain a minimum Current Ratio of **1.33:1** (representing a Net Working Capital contribution of at least 25% of current assets from long-term sources).

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